



February 9, 2026

Senator Mike Jacobson
Chair, Banking, Commerce
and Insurance Committee
Room 1117
P.O. Box 94606
Lincoln, NE 68509

Senator Bob Hallstrom
Vice Chair, Banking, Commerce
and Insurance Committee
Room 1404
P.O. Box 94604
Lincoln, NE 68509

Senator Dunixi Guereca
Room 1523
P.O. Box 94604
Lincoln, NE 68509

RE: Letter in Opposition to Nebraska LB 1006

Dear Chair Jacobson, Vice Chair Hallstrom, and Senator Guereca:

On behalf of the advertising industry, we write to oppose Nebraska LB 1006.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. LB 1006 would significantly limit Nebraska consumers' access to discounts and special pricing by prohibiting businesses from using "personalized algorithmic pricing" or "surveillance pricing," and would also create a new private right of action that conflicts with the enforcement structure set forth in the Nebraska Data Privacy Act ("NDPA"). Accordingly, we ask you to decline to advance the bill as drafted out of the Banking, Commerce, and Insurance Committee ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.² By one estimate, approximately 18.1% of Nebraska jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.6% by 2029.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

¹ Nebraska LB 1006 (2026 Session), located [here](#) (hereinafter, "LB 1006").

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

I. LB 1006 would significantly limit discounts and special pricing offers that benefit Nebraskans and the economy.

LB 1006, unfortunately, would not preserve the value of discounts to Nebraskans, resulting in higher prices for consumers. Under the bill, a business may not use “personalized algorithmic pricing” or “surveillance pricing” for any reason.⁴ In practice, these restrictions would likely prohibit consumer-friendly pricing practices that Nebraska residents encounter and value every day. This proposed restriction would also conflict with the NDPA, which allows businesses to use personal data for targeted advertising subject to a consumer opt-out right.⁵

Section 4(4) of LB 1006 proposes a prohibition that is overly broad and would impede commonplace business practices that enhance understanding of customer preferences, give consumers more choice in products and services, and give Nebraska retailers the ability to predict sales and new offerings while growing their businesses. As drafted, the bill would ban “personalized algorithmic pricing,” a term defined to include “dynamic pricing” or “surveillance pricing.” The bill would also ban “surveillance pricing” alone. Given these prohibitions, it is unclear whether it would be permissible for a grocery retailer to use a consumer’s prior purchase history to provide the consumer, who regularly purchases fresh produce, a targeted offer to purchase surplus fruits nearing their sell-by date at a reduced price. This type of pricing strategy delivers personalized discounts that lower prices for consumers, reduces food waste, and helps retailers manage inventory more efficiently. Yet because the offer relies on consumer data to tailor pricing, it may fall within the bill’s definition of prohibited “personalized algorithmic pricing” or “surveillance pricing” even though such pricing offers benefit consumers.

Further, although LB 1006 excludes certain practices from its definition of “dynamic pricing,” including promotional pricing offers, loyalty program benefits, or other temporary discounts or pricing changes intended to retain existing customers, those exclusions do not meaningfully resolve the problem.⁶ First, the bill would still significantly restrict the availability of discounts and special pricing for ordinary consumers who are *not* enrolled in a loyalty program and for whom the business is not specifically seeking to encourage continued patronage. Second, and more importantly, those exclusions do not apply at all to “surveillance pricing,” which is separately defined and also flatly prohibited under the bill. As a result, promotional pricing, loyalty program benefits, and temporary discounts that are expressly excluded when categorized as “dynamic pricing” may nonetheless be prohibited when the same conduct is categorized as “surveillance pricing.” This internal inconsistency creates substantial uncertainty for retailers and risks chilling consumer-friendly pricing practices that the bill does not appear intended to ban.

⁴ LB 1006 § 4(4).

⁵ Neb. Rev. Stat. § 87-1107(2)(e).

⁶ LB 1006 § 3(6).

II. LB 1006 should be harmonized with the existing privacy framework established under the Nebraska Data Privacy Act.

LB 1006’s prohibition on targeted advertising to individuals under the age of 17 departs from Nebraska’s existing privacy framework established under the NDPA.⁷ As we noted above, the NDPA permits the processing of personal data for targeted advertising, subject to a consumer’s right to opt out.⁸ LB 1006 would replace this opt-out model with a categorical age-based ban “under any circumstances” that is not aligned with the NDPA, creating an inconsistent regulatory approach for the treatment of targeted advertising. Adding to this concern is the ambiguity created by LB 1006’s failure to define “targeted advertising” by leveraging existing law with statutorily provided related exclusions.⁹ These divergent provisions would create uncertainty as to what conduct is permitted and increase compliance burdens for businesses that have structured their privacy programs to comply with the NDPA.

III. LB 1006 would establish a private right of action, which is an inappropriate form of enforcement for the legislation, and directly contradicts the approach to privacy enforcement in the NDPA.

As presently drafted, LB 1006 would create a private right of action for any violation of its terms.¹⁰ As a result, a violation of the bill’s prohibition against use of data about U-17s for targeted advertising would be subject to a private right of action, despite the fact that the NDPA does not permit such an enforcement mechanism and generally allows use of data for targeted advertising subject to a consumer opt-out right. Including a private right of action in LB 1006 would create significant confusion regarding the enforcement mechanisms available for activity that is already regulated under NDPA.

LB 1006 should be updated to clarify that it does not create a private right of action under any law. In addition to creating conflicts and confusion with the enforcement structure under NDPA, we strongly believe a private right of action would be an inappropriate enforcement mechanism for this bill. Instead, enforcement should be vested with the Attorney General (“AG”) alone, because such an enforcement structure would lead to stronger outcomes for Nebraska residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill’s new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in LB 1006 would create a complex and flawed compliance system without tangible benefits for consumers. Allowing private actions will flood

⁷ LB 1006 § 4(5).

⁸ Neb. Rev. Stat. § 87-1107(2)(e).

⁹ Neb. Rev. Stat. § 87-1102(32).

¹⁰ LB 1006 § 6(5).



Nebraska's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.¹¹ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on Nebraska's economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.¹²

Beyond the staggering cost to Nebraska businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that LB 1006 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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¹¹ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

¹² For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



We respectfully ask the Committee not to advance LB 1006, as its provisions would negatively affect both Nebraska businesses and consumers alike and conflict with NDPA. Rather than strengthening consumer protections, the bill risks higher prices, reduced choice, and fewer opportunities for consumers to benefit from discounts and incentives.

Thank you in advance for your consideration of this letter.

Sincerely,

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